America Has a Much Bigger Problem Than Interest Rates

Podcast: Know your risk

AI Executive Summary

1. Core Thesis: The episode presents a macroeconomic warning regarding the structural unsustainability of the United States' current fiscal and geopolitical strategy, arguing that short-term political cycles and traditional market optimism are masking long-term risks. The speakers contend that US debt levels, interest costs (currently surpassing Pentagon spending), and lack of fiscal discipline will necessitate inflationary solutions rather than productivity-driven growth. This environment favors a strategic shift away from overvalued equity markets toward real assets and income-generating investments to hedge against escalating geopolitical conflict, persistent inflation, and the inevitable "inflating out" of debt rather than growing out of it.

2. Key Arguments & Data:

3. **Treasury & Debt Concerns:**
    - Long-term average yields (10-year/30-year) are historically above 6.5–7%; a 5.3% yield on the long bond is deemed "egregious" and indicative of a major systemic problem.
    - US interest costs currently exceed the total Pentagon budget; further debt issuance risks fiscal collapse without structural change.
    - Scott Besson's recent Treasury actions are viewed as an admission of discomfort with yields, signaling an expectation of higher borrowing costs or "own goal" market reactions rather than successful policy direction.
4. **Market Performance:**
    - S&P 500 closed up ~0.4%; Small Caps up ~0.8%; Bitcoin at 77% YTD; Gold miners +3%, Platinum +3%.
    - Interest rates ticked up (front-end) despite equity market stability, driven by concerns regarding Treasury operations and inflation control.
5. **Fiscal Policy Debate:**

- No serious bipartisan compromise on spending cuts is occurring; both parties view deficit reduction as impossible without major structural changes.
- USAID budget growth correlates with political cycles but results in net fiscal deficits despite "compromise."
- US strategy relies on "inflating out" debt (printing money) rather than "growing out" through productivity gains, which requires blistering nominal growth rates leading to high inflation.

6. **US vs. China Competition:**
   - The US operates on 4-year election cycles; China operates on longer strategic intervals (50 years).
   - Critique of US manufacturing offshoring and reliance on partners for security (e.g., Patriot missiles design, Boeing's corporate failures).
   - Education systems contrasted: US prioritizes emotional safety over human capital development vs. China's rigorous approach (Necessity is mother of invention).
7. **Geopolitical Risks:**
   - Russia-Ukraine war cost >500,000+ deaths; US comparison to Vietnam (30k dead) highlights the disproportionate human cost.
   - US oil production during Middle East tensions has dropped to near domestic consumption (~7-10M barrels), despite administration claims of 20M barrels; China's imports are picking up post-war.
   - Escalation dominance exists on both sides (Iran/US, Russia/Ukraine); risk of kinetic conflict or tactical nukes is a growing concern.

8. **Portfolio Strategy:**

   - Average US portfolios favor overvalued equities (e.g., Microchip/Micron sector), while the speakers' portfolio favors cash-flowing real assets and dividends to avoid drawdowns from inflationary markets.
   - Gold miners outperform Bitcoin in terms of tangible utility against conflict risks.

9. Actionable Takeaways:

10. **Re-evaluate Portfolio Allocation:** Reduce exposure to overvalued, high-volatility equity sectors (e.g., specific AI micro-cap stocks) and increase allocation to real assets (energy, mining, gold) that act as hedges against inflationary pressure and geopolitical conflict.
11. **Monitor Interest Rate Trajectory:** Do not view current rate increases solely as a correction; they may signal the onset of a structural bond market crisis driven by debt ceiling and interest cost issues.
12. **Focus on Cash Flow over Growth:** Prioritize assets that generate reliable income (dividends, production cash flow) rather than capital appreciation potential in a volatile market environment.
13. **Acknowledge Geopolitical Risk:** Prepare for increased global instability and potential supply chain disruptions by diversifying away from US-centric economic reliance to include strategic partners or sovereign wealth instruments.
14. **Ignore Short-Term Volatility:** Maintain investment positions based on long-term fundamental cases (e.g., gold's role in central bank sterilization) rather than reacting to immediate market drawdowns or political rhetoric about deficits.

Full Transcript

You know, because of the last 15 years, 5.3 looks egregious on a long bond. Yeah, the problem is long-term average on the debt's not 40 trillion. Guys, if we got a problem at 5.3 on the long bond, we got a bigger problem. The opinions expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific security. It is only intended to provide education about the financial industry. To determine which investments may be appropriate for you, consult your financial advisor prior to investing. Any past performance discussed during this program is no guarantee of future results. Any indices referenced for comparison are unmanaged and cannot be invested into directly. Any references to performance of securities are thought to be materially accurate and actual performance may differ. As always, please remember investing involves a risk and possible loss of principal capital. Please seek advice from a licensed professional.

And we are back with another edition of the daily dots and I'm joined as always by the brain trust himself mr. Chase Taylor It feels like it's been a coon's age man a long time since I've been in here Lot lot has happened. You've been talking about it a lot Yeah, I have not I feel like this is one of those weeks where I mean not really it didn't meet this definition, but it's kind of you know For decades, nothing happens, and then in a week, decades happen. Kind of feels like that. I feel like what we've seen, and we can talk about this in greater length, obviously, we will, but I think what we've seen from the Treasury could very well end up being somewhat historic. It's kind of weird to see those things come to fruition when we've been talking. You know what I mean? We talk about those things for so long, watching the bond market reaction to it, I thought was fascinating.

I surprised a lot of people. I don't think it surprised you and I Maybe the speed at which it happened was a bit of a surprise Trying to think of all the all the other you know developments in the straight We had a lot of talk. So anyway, I just let's obviously let's start with the rundown and then we'll start working our way through it Yeah stocks finally had a red week. So there's that but S&P closed up today point for the cues rep almost point for small

caps up Almost 0.8. Bitcoin goes up 10% a day. It seems like up another six today. So you're up to 77% there. I would assume a lot of the shorts are gone now. Although, you know, it's Bitcoin. People are going to be pumped to get back in there. I'm sure. Oh, yeah. Mag7 was up 0.6. All-WorldXUS beat it all at 0.8. The dollar was flat. As far as Mag7 went, honestly, nothing worth mentioning. Nothing like moved. I took the back. Tesla was up 5%. So that was like the one big mover there. Probably saved all of Mag7.

Rates up again, especially the front end actually this time. Why was Tesla up five? I have no idea. Do you hear that they announced they're discontinuing their solar panel, their solar roofing? No, I did not. Yeah, it's because it doesn't make money. It's a good reason. Well, I mean, when they launched it about six or seven years ago, I remember you and I saying, that's not going to make any money. One thing I'll give them, I think the A lot of the battery power stuff both for the industrial and for home uses like that's a great business like I It's one of the things that means I would love to buy it if it was in the same, you know the same Planet is is you know, I was for the valuation of the company. I'd love to buy it Alright two years up about five basis point. It's good bit two years like really starting to pick back up The tenure was up another three and the 30 years up another call it three so This was the highest daily close for the tenure of this whole move. So to your point earlier Scott Besson tried to rescue the market and that's already failed Crude was essentially flat on the day But it had a very solid week again. So WTI is at almost 87 and Brent is at almost 94 Gold up another 2.2 silver up 1.7 interesting to see gold actually outperform for once gold miners up another 3% covered a lot of ground since Scott Besson decided to tell everyone that yields hurt. Platinum has been a beast too. Up another 3% today. Palladium up one. Up almost another two on Copper as well. Vol down about 1.7 on the day. You're at 17.5 on front month fix and 15 on spot. The AI trade was actually really flat. Like all the stuff we kind of track is the proxies for the AI trade were basically flat, not worth mentioning.

And one thing I'll mention was uranium up 7.6 today. Yeah, I saw that ETFs. Uh, I know the cost side, not surprisingly for Uranium is getting pretty interesting. Um, as I, I'm always saying like, you know, energy oil is not the only thing coming out of the straight. Like, and I think so many

people, including policymakers, just talk about the oil as if it's the only thing with sulfur and sulfur dioxide, like a huge part in mining. So that's really starting to sting on the cost side, which is kind of hurting on the production side. Um, and there was news there today, but like all the Boba got smoked today. And I know hedge I dropped it. And I think that may have played a role. Um, so that's all a big hedge is moving markets on stocks like Ali Baba. Yeah. I think it's very possible. Wow. Cause they're, they're earnings earnings are a few days ago. And most people kind of are, and most people kind of liked it and it did decent after the earnings.

And then the only thing I know of today was that now I didn't go searching to see like every bit of news or anything. So I could be totally wrong. But yeah. Yeah. Um, but one of the, one of the things I, and I just saw this offhand, but one of the things I saw was Alibaba's getting hit because they're spending too much on AI or they announced an increase. It's fair. Like they are also doing capex, but their capex is like. A drop in the bucket compared to ours. Their capex is a modest percentage of their positive cash flow. Don't we mean? I'm cool with it compared to Meta or something. Yeah, I continue to look at so many things outside. Speaking of, we talk about the competitiveness of US versus China and the costs for businesses to make things for US versus China. Good bit on the show. If you think about this from the AI perspective, AI is so expensive to build that you are scaling your efficiencies or your inefficiencies when it comes to things like power just construction of stuff You know not to mention all the little components to go in like point of making is cost scales and cost savings scale Whenever you're building these massive data centers. So in that sense, you almost have like a embedded Like leveraged you know, scaling ability built in for them on the cost side for building all the stuff that I don't think enough people think about. The other thing, I had a little note on here. This is a little bit more generic and probably speaking to our clients primarily, but also kind of a good lesson that I've learned over and over and over again, which is, you know, this is always a difficult one to talk to because in trading in our business, at the end of the day, price is reality.

and yet I feel like the toughest thing about this business, the crux of this business, I think is deciphering whether the move in price is based off market machinations and typical human emotion and things like that, or if

it's actually real. And one of the things we explained to our clients is, are you experiencing volatility or are you experiencing loss? Cause those are two different things, right? We went from being up 16 and a half percent on the year to being up six and a half in about a month. And the composition of our portfolio changed very slightly, right? And we're sitting here today back within a breath of that 16 and a half percent and, you know, solidly outperforming the market again. And we made very little tax. And I had that conversation with several clients. They go, well, what are we going to do differently? And I said, nothing, right? Why?

Because and look, we could have been wrong, but and you can feel free to disagree with me because I like take this out. You know, just say it's a good it's a good thing for us to be reminded of just because we're subject to emotion to right like I've said that to so many of our clients where they act like you know. Well, Zach, but you guys are impervious to, you know, and you go, no, nobody operates and nobody likes to, nobody likes being down. Nobody likes being up 16 and a half percent a year and watching to go to six and a half and a month and a half. But one of the things that you've got to look at and that I've learned to look at is go, wait a second, I understand why this move in markets and this reaction is driving these things down. But does that change fundamentally the case for this asset? And for instance, gold miners were one of those and that's why we were adding to our positions between 4,500 and 4,000 gold because the I believed you but as you did at the time That now could gold have gone down and retested 3500. Yeah, I kind of thought I would but you know, whatever It might have if Scott Besson didn't show his hand. Yeah, right, right, but Despite the ugly pullback and this is what we said all along. Hey, if you want to play in the sector man 35 to 40 pullbacks, that's the price to pay play Right? It just is. It always has been. But what I was sitting there that entire time thinking, do any of these new developments make the need for other central banks to sterilize their dollar exposure or limit their dollar exposure? Does that change that at all? Absolutely not. As a matter of fact, every single thing I see is going to make the deficit and debt long-term look worse. Now, That does and again just because that ended up being the truth does not mean gold could not have gone back down to 3,500 But when you see a trend in play what you're looking for is different inputs that break that trend or change the way it And again, we could have been wrong, but I didn't see

any of that right if you would have got social security reform With teeth or whatever then that's a good point. Yeah, then you do sell every ounce of Goldie got probably yeah for the hills, but like this is more of a Gold went up too far too fast and I needed to consolidate But the long-term picture just hadn't changed a bit. No, no and now to that, you know, I think the market kind of was buying into some of the Some of the aspects around that and and the funny thing is like to me and I text our group this like you went from the war being bad for gold Which it obviously was from the from the moment the war started gold got smacked silver gold miners They all got smashed on the war which makes sense energy up rates up dollar up like not not good for that for that trade. Well it was all and it was a unique it like a lot of times global dust ups like that put a bit under gold but when you considered what was currently going on and i miscalculated that in the beginning one of the things i said was i thought hey if i ran make some or if we make a move on iran our portfolio should be fine because of golden oil then gold started getting hit and i went you know what that kind of makes sense right? Because so many central banks buying were one of the biggest impetus. And with that issue going on, that created everybody, including central banks, sit there and go, hold, let's see the way this plays out, right? We might need to use some of it. Now they can print their own money. But you know, my point is, is that that quickly could have developed into a situation where they no longer believe that buying gold was the top priority, right? And to go back to the text I sent you guys, it was like, okay, we'll this morning, the war became good for gold because the war is pressuring the treasury and they're putting money into a t-shirt cannon and shooting it, you know, at the crowd. So like, okay, now, now, now when the pressure hits on inflation, that normally would have hurt gold and they could still look it for a periods, but like, but now everyone knows that everyone knows like Scott Besant has to do something about that, which is going to turn into QE like they're not going to call that they're going to come up with some fancy way of telling you how it's not at all that but like they're gonna have to you know find a way to cap yields with essentially monetized money so like it is what it is so gold sees that gold smells that and gold's running with that just like crypto is and they're right to do so. The opinions expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific

security. Any references to performance of securities are thought to be materially accurate and actual performance may differ.

Okay, this was the biggest thing. I was looking to hash it up with you because I've been out of town and, you know, we've been in contact watching. I've been involved, but you and I haven't got a chance to sit down and discuss this in a longer format. Treasury. The minute I saw that announcement come up, I don't know if you remember, but I sent you a text just before the market opened. I want to say on the day that announcement came up and I went, Did something happen in the bond market that I'm when I first saw the headline, I pulled up bonds and I was expecting to see like a Liz trust type movement. You know what I mean? Just because I just because it came so out of the blue for him to say that. And I couldn't help but to sit there and think I think at that moment, I think he just made a mistake. The lady doth protest too much, right?

And I will be surprised if in five days you're not looking at higher yields on the third year than you are today. I didn't think it happened in a day, but it didn't surprise me. You put that on the long list of things coming out of this administration that's just a head scratcher. If I'm worried about the long end, I'm calling around every favor I've got at other central banks and trying to conduct a little bit of stealth QE to soak up some of it, right? I don't want to come out and even admit the yields are bothering me. And I just thought that was a bizarre thing. And if you think about it, it's kind of, it's actually just another, another, you know, mark for that because we just did the Japan stuff and in a sense to try and defend treasuries to a degree at least. So like we were showing our hand that like we're getting uncomfortable up here, but you went from kind of showing it with the Japan interventions who like, I mean, just making it, making it plain as day.

that you're really uncomfortable with where yields are. But to your point, it was kind of weird because equity markets basically fine. The economy is basically fine. So either they know something else or... But I would argue, and this is the argument I've been making, the reason yields really went off was because Kevin Warsh said, the bond market's in control of inflation, not me. The bond market was like, oh, cool. We'll take care of it for you. Yeah. So like he talks to Jackson. Hold is coming week. Like let him go put the

genie back in the bottle. Let him go clean up after himself. And then bonds probably would have been a reasonably okay. So like in that way, it feels like an own goal to like let the market know, you know, that you have some fear around, you know, these, these levels because the markets is going to probe the crap out of you now. Like it knows your stop, man. Sisteel from, from Palo.

macro like he was talking about the Jurassic Park, the way the Raptors probe the fence, the perimeter, you know, like that's what it kind of feels like. That's what markets do. Yep. You show some weakness in the market. If the market knows it can shove you around and you're going to do some QE, it's going to, it's going to shove you. Yeah. Yeah. Well, the other thing too, that again, surprised me with that action, especially as close as it is to elections and all that kind of stuff. If you go back, and I don't know the exact record on this, but if you go back and look at every single time they reintroduced QE, relaunched it, changed it, whatever, yields went up almost every single time those announcements were made, which actually makes sense, right? And the reason I say that is because if you know that stimulus in one way shape or form is coming into the market, it makes sense to lighten up off of non-risk assets and put them into risk assets, right? To move out of duration and move more onto the risk side of things. And QE always comes when you have a bunch of inflationary pressure.

Anyways, so like it's not crazy that yields struggle to go down I think I think QE absolutely caps yields and keeps the pressure down If empirically if you just pull up put the timestamps on you're like, oh well you let's go up during QE It doesn't go down like well in the end. No kidding because they launched QE whenever the inflation is really pressing yields like It's a weird counterfactual that people mess up. But yeah, and then there's another weird part too which is You know because of the last 15 years 5.3 looks egregious on a long bond. I don't know what the long-term average is, but I guarantee you it's below that. And I think the long-term average on the 30 years, more like six and a half to seven. Yeah, the problem is long-term average on the debt's not 40 trillion. No, but you were right. But this is, again, I just don't think that we get freaked out or worried about the right things. Guys, if we got a problem at 5.3 on the long bond, we got a bigger problem. We do. I know. Yeah.

i know and and i mean this gets into a i mean this you know this gets into a debate that we've been having in your office for like three point something percent of gdp we pay more for interest costs than the pentagon like that's all you need to know about where the problem's at now their answer to that is going to be you know cut rates and sell a bunch of short end chargers to get the interest cost down but as if that doesn't have a bunch of uh other problems associated with it well then you got a full emerging markets you know like i say if you play emerging market games you win emerging market prizes Well, they got a bunch of people sitting there going you know what we really need is lower interest rates and you sit there go to you Okay, so let's say you drop the let's say you dropped our policy rate to one We better buy back all the long bonds. What kind of run-up would you see what kind of run-up? Would you see in housing prices? What kind of run-up would you see in that? I mean you want to create a crash? Do that do that? Like that's that's that's madness. That's madness when you've got yeah Inflation trending the way it is. I I mean I don't I think the next quarterly refunding It comes out of treasury and you know, we're almost a quarter away from it because if we just had one but like I think they're gonna have to announce a bunch of shenanigans in that to include less issuance along in things like that Retiring a bunch of the really low coupon outstanding bonds that are out there They're gonna have to basically announce different Some some form of treasury bailouts to get to get yields down like they're just gonna have to people are openly talking about we should not sell any more 20 30 year paper like that That's where we're at. You know, that's that's the kind of stuff you expect to hear out of an Argentina not not the US Yeah, and it's also the stuff that you expect to hear out a bunch of people that aren't serious about actually dealing with issues Right like the issuance of the term structure of the paper we're putting out is the thing you're worried about nobody trusts you for 30 years The answer isn't to see if they'll trust you for five. No, no. Um, which if you, like, if you have confidence in either political party, okay, this current situation should disavow you of any of those, any, any of that confidence, right? It should because nobody, nobody is having real talks. When Besson says we'll grow out of this, that's, it's part of my, it's bullshit. Yeah.

Okay, the like I I'll just it's not math Yeah, I don't think you were here But I I did it we we did a work up on that and this was several years ago when the

numbers were smaller And I remember looking at it and walking through and going okay if we held the debt step if we held spending steady And I want to say it was like for 15 or 20 years and we grew the economy at 6 to 7 percent a year over that same period of time You could grow your way out of it. Yeah, the nominal growth rate has to be blistering to the point of having a bunch of inflation. Right. Now, can you inflate your way out? Yes. But let's call it that. Let's not call it grow our way out. Yeah. Well, and that's not a painless issue. Far from exactly. Yeah. No, we're going to do it. That is where we're going, but it's inflating out, not growing out. Unless you really do get the nirvana productivity that you probably aren't going to get. And here's the crazy thing. As is usually the case in situations like this, we're facing this kind of fiscal debt wall.

right that we're starting to feel because if you and this was the point that so many of us were talking about from 2009 all the way up to 2020 where we're like hey the eventuality of where this is heading is it's unavoidable this is kind of one of the first signs that you're entering that phase that repayment phase right meaning you're going to pay this back one way or the other right by hook or by crook you're going to pay it back right And what you're starting to see, that pressure on the long end, those payments are starting to come due. And all of these games and all these machinations, when the bill starts coming due, it all goes out the window, right? And all of this happening at the same time that you get getting the biggest, most unapologetic push for socialist and communist type practices, none of that's gonna help, right? Like I've said, if you think- They probably will not cut spending.

I'll throw it out there. I'd say that's the call. Let's call that the safe bet of the year or of the decade, right? I picture us as Mr. Bean, you know, the scene where Mr. Bean's like trying to like see what his neighbor's doing to copy, you know? That's basically us looking at like the central bank from like Brazil or Argentina, like, you know, 20 years ago. What do you got going on over there? How's that work? Yeah. And when you hear the political discussion about it, you don't hear any conversations happening on a serious basis that address any of these issues. Right. One of the last time someone had a grown up conversation about like really cutting spending, not like nonsense around the edges or not like this takes an it takes effect after our

guys out of office or well, and that's the issue or it has a sunset or like Well, and that's the issue of training, you know, it's one of the, and again, we've been talking about this since 2010, but one of the problems about overfinancializing an economy and training everybody, the telltale sign of solid economic policy is increased asset prices. You're starting to see that because the very paint, you know, you brought up a great point. I think a lot of people look at the Chinese efforts to deflate their real estate bubble I think they look at it the wrong way. They go, look at their stock market's been flat. They've been, and I'm like, yeah, but here they are. They just deflated an asset bubble that everybody, including me, said was going to tear down their entire economy. It did not, right? And where are they at right now? They're at a much better footing right now for solid sustained economic growth going forward because they no longer, look, they still got too much debt on the banks, balance sheets, but Too much debt when you take those steps is a problem that you can eventually grow out of because you've taken the hit up front, right? The state can help out with the debt load on the bank's balance sheets. And over time, regrowing those things and getting back to growth, it can start filling in those gaps and fill them in fairly quickly. But when you won't take any pain up front, like we won't, You know, that's the issue of what is the biggest structural block that we have to dealing with the fiscal situation and the debt situation in this country? It's the fact that if the stock market doesn't go up for a four-year period of time, nobody's getting reelected, right? Because that's proof that you've made bad economic policy, which is really insane to think about because in a world where we're fighting inflation, what we're saying then is that lower prices are the worst thing that could happen to us. People go, no, I meant unemployment. Yeah. Hey, look.

If we've got to take seven and a half, 8% employment on the nose to try to get this, and it'd probably be worse than that, but let's say it's eight or nine. If we've got to do that to make sure the country doesn't go under, and we don't realize double-digit inflation and all that kind of stuff, but you're just at this structure, you're at this moment in American politics where if the stock market goes down over your four-year presidency or a failure, right? I mean, that's our biggest problem is the scoreboard of the stock market became it. Entirely too important for us as a country and and I don't think people recognize all the knock-on effects that come with with that We're

living through the very very very beginning of it. But yeah, well, I mean, what do you call economies? That like what do you call economies that have soaring asset prices and and economy that's going into the tank you call it a third world economy But right the the action hyper productive capacity especially to make important things You compare us to some other places and that is an unfortunate view. But if you compare our corporate profits to other people, man, we're good. But how long can one live without the other is my question. Well, and this is the problem that it gets me. You know, this is one of the reasons that it's so funny, man. Because, you know, with age and time, you obviously get older and you get more mature and you see things. But what you also become aware of is that there is no silver bullet solution.

And it's one of the reasons that, you know, I came to the conclusion that, look, free markets don't fix everything. It's the best system that we've ever found. But that's where I came up with that whole analogy of, look, free markets and capitalism, we're an incredible guard dog, but you got to make sure there's no holes in the fence. You can put some bases on, like some braces on them. Kind of like you need an elbow or like shoulder brace to keep it from getting out of joint or whatever. Yeah, same for capitalism. Yeah. And a perfect analogy is what we've seen here with corporate profits and offshoring Virtually all of our manufacturing right which is you're at a point now where I believe the I believe average profit margin on the S If you add it all up together, I believe profit margin on the S&P is about 2526% right historically that number is a 16 Okay, so when we have achieved record profitability with the publicly traded companies in our society That's when at the same time you've got these massive wealth divides all this cultural angst all of these issues Right? That alone should prove to us that profits do not fix everything. And there is a certain point you get to where, yes, you're maximizing profits, but you're doing it at the cost of future growth and future ability to produce things. Right? So, yeah, we make the most money off selling goods. But if we're a two-week shipping container away from being able to resupply, if we have a partner that is cooperating with us, That's probably not a good footing to have your, you know what I mean, to have your military on, to have your economy on, where you're solely reliant. You know, yeah, we've got the best military in the world. Yes, if we can supply them. And we cannot. That's right. Very

acutely obvious in the last, honestly, five years, but to most people the last six months. Right. And then, you know, we're sitting there saying then that we're not going to let other people produce.

You know our Patriot missiles and things like that because oh, we're gonna give up design like because they would out compete us. Yeah Well also dude, we were using Patriot missiles in 1992 and I like it this isn't like, you know the stealth bomber 30 years ago, right like We need to get production. We need to get production going. Yeah, I let other people produce someone. Let's compete against them on that kind of stuff Yeah, and and if I'm sure this is a very common phrase, but in defense procurements, we have a phrase used whenever you have two people compete for something. You've got to bake off. You have something you're trying to get done. You put two of your defense contractors head to head and have a bake off. Not just who can make it best, but also who can do it under budget, under time, all that kind of stuff. I feel like we need to add more bake offs, not just between Lockheed and general dynamics are Boeing or whatever, but like okay, like against the Koreans against the Japanese Against the Brits against the Aussies like you know all your partners If you can't outcompete them you craning to Ukraine to like well, we got we got some stuff to figure out, right? Yeah, yeah The other thing too and this is this is more of a cultural observation, but in a capitalist and free markets system when a corporation or an entity no longer benefits the Local community that it's in that's when you start having a problem, right? That's when you so when we're getting rid of all these jobs to maximize corporate corporate profits, right? I was reminded that this is for people to listen to show this is a this is an oldie bit of goodie, but I'm not sure when it came out I think it's fairly recently. Maybe it was 2023, but I ran into a documentary on Netflix about Boeing and the Boeing collapse. If you want to see a perfect example of what you and I are talking about, go watch that. Go watch the management decisions that were made along the way that in hindsight, look ridiculous. And at the time, everybody cheered for, right? Oh, it's more efficient. It's more of this. It's more of that. Again, okay, at what costs, right?

human lives in their case and then also how much market cap obliterated all these other different things and that's what we've got to start thinking and That is a disadvantage if we look at I and I think it's fair to say that our

greatest geopolitical and economic rival over the next 50 years is going to be China Right. We we need to come to terms with the fact that they and you've said this a million times and and I this is nothing new But we need to come to terms of the fact that they're not thinking on four or five year time intervals Right that they're making and I'm not sitting there saying China is better than the US and I'm not saying they've beat us What I am saying is that you can always learn something from your adversaries, right? There's always something to be learned and one of the things we need to learn There's a lot we need to learn, but we got to start thinking about things on longer term intervals than two and four year election cycles It's just killing us, you know, I and and and to be fair I can bring up, I mean, look at what Besson said about oil and, you know, those are ridiculous statements too. But, you know, Patty Murray, Senator from Washington puts out a tweet, the number one reason for deficits is Republican tax cuts. And I'm just sitting there going, that is like, look, do tax cuts contribute to deficits? Sure. But to make that statement and not even bring up entitlement spending, right? I just, or defense spending or or defense spending or waste and corruption all the different things that we know it's I mean like I said in my tweet I go this statement should ex you out from running a PTA like because you're either incredibly disingenuous and divisive and obfuscating your own responsibility or you actually believe it I'm not sure which is worse right it's an incredibly chill thing for a modern politician to say Like there's I there's I know there's so many worse and and you can find worse on both sides. That's what I'm saying. It's so much worse than that because that is like an equivalent. Now, look, I don't like admitting like because I'm naturally that's no toast. Yeah. Oh, totally. And to be fair to to be fair to Patty Murray. And we said this at the time that thinking that you can eliminate the deficit via reduction in waste and corruption. Like that's the equivalent dumb statement. Right.

Guys, just like it is with your home, right? Should you not go out to Starbucks every single day? Yeah. But that ain't going to fix your 250,000 revolving credit card debt problem. Yeah. I'll never forget listening to one of Silicon Valley's finest, who's very close to the administration talking openly on a podcast about how he thought we were going to literally balance the budget. It had to be David Sacks and Chometh. It wasn't non-ironically, too. Oh, wow. Who was it? Brad Gertzner. Oh, OK. Yeah. Because I'll never

forget the moment because I just stopped in my tracks. I was just like, what did he say? Well, look, if it was just my whole. People thought we could doge our way to a balanced budget. No. And look, I think that you could have doged your way to far more savings. It had it been an earnest thing that both sides were interested in doing. But you and I were.

You and I were talking about this before the show and and the more and more I look around I am convinced when you look at the ridiculous levels of spending when you look at the ways it is spent when you look at the waste when you look at all these things I am absolutely convinced and and no one's gonna cite this as an issue except me maybe a few maybe a few others but The whole cooperation and working together in compromise, right? we think of that being one way. We think about compromising when people like us say that, when the normal proletariat, and I don't mean that in a pernicious way, but when normal folks like us talk about that, what we're talking about is we're talking about tackling tough challenges, right? That's what we're thinking about when we think about compromise. We think about compromising on issues like healthcare, right? What DC thinks is, Yes, I will sign off on this ridiculous piece of spending that is effectively outright corruption. If you'll sign off on mine that's similar, it's just in my backyard, not as opposed to yours, right? It's both of us agreeing. I'll scratch your back. You'll scratch mine. We'll get this thing passed. Meanwhile, deficits and debt just keep climbing. It's out of control. Then those people that agreed to compromise on that bill, Go back to their constituents in their home state. Look at this bag that I got for you and on and on and on we go, right? And they justify for these ridiculous like think about where USA ID got Like you look at USA ID and look at the budget growth of USA ID under Republican and Democrats, right? And I was sitting there looking at that and going the only way that happens is if Republican majorities in several of those circumstances, signed off on bills that appropriated more money to USAID in exchange for what? Because on the right, we want to point out USAID and it's so bad. You look at them and go, hey, guys, how many of those years where their budget was going up, did you have the majority in Congress? And if I'm not mistaken, it's Congress who decides funding, right? So my question to you is not how did USAID get there? My question is, what did you get in exchange for that?

You know what I mean? And you look at so many of these issues and it came clear to me I was like that this has to be how that stuff is happening, right? How does it because? How how does the military defense spending keep going up regardless of who's in there? Despite the fact that we're not good at building things like where's it all going? Yeah, I it and and then you know You pointed out another thing that we were talking about too and this is where you'll always come full-circles breakdown of the educational system meaning You got everybody believing everything they want to do. We're arguing about whether you can wear tails and cat ears to school. Nobody's learning anything, right? We have some, our best educational institutions that are afraid to give out grades because it might hurt feelings and make people sad or whatever. Yeah. What was that? And like, at the end of the day, if you want to know the direction of a country, you just look at human capital. Yeah. Which way is the human capital?

needle pointing. That's where the country's heading. You know, it's so strange to me that all of these so many of these things that are done in the name of being compassionate and nice are the exact opposite. What are you trying? You're sitting there training the future of our country to say, hey, if if the pressure ever gets too great, we'll just alleviate you of all consequences. What in the hell is that? How are you supposed to know that like that you need to get better at something? If no one will tell you, you're not good at it. I want to look at every one of those people. Well, I probably don't because I don't want to hear their answers. But looking at them and go, what Tony Robbins book did that come out of? What are you taught? Where has that ever made anybody better at anything? It's just nuts. Meanwhile, there's families in Asia where they probably don't give their kid.

Anything sweet to eat for a month if they get a B, right? Yeah, Necessity is the mother of invention, man. I literally saw that and I'm considered to be pretty hardcore and pretty old school parent. I saw that and I immediately thought, man, I'm not hard enough. That's just not reality, right? You need to learn that to build anything in this world, get ready. Get ready to swallow building and not seeing any results for five, seven, 10 years. That's reality. Yeah, and that's where I always come back to you on China is everyone. Everyone always wants to attribute all the success in China that seems like it has exploded in the last five years To something they did in the last five

years and a lot of it goes back to education reforms in the 90s But no one was you know, and that's boring to go back No, no one's no one's trying to like plant a tree that will give us shade in 40 years or 30 years, right? No, I suppose to win the election and make a bumper sticker on the big when you've delivered, right, right which which is one of the interesting things that you can dig into is when you look at um and I don't want to go too off the rails on political theory here but one of the faults and I don't mean it's a fault because I love the idea that you know when you think about on its face I love the idea of every four years having the opportunity as the electorate to vote vote all the bastards out and start over right I love I love the idea on paper At the same time, you have to acknowledge that the ability to do that has drawbacks. And I think that we have allowed those drawbacks of that system to be exploited by a lot of people. Yeah. And we know our attention span is getting shorter and shorter and shorter. So if you really think about it, it just amplifies the problems already built in knowing that. Yeah. Okay.

We're getting a little longer, but also revisiting the straight Now we're Now that we're in control of the Strait of America now we're instituting an economic war because the which I guess would mean that the blockade has been that effective Yeah, I'd say who would have known that six and a half months after this started. We'd still be here, but The main point for me on this is you know, you could do an economic siege. It can be reasonably useful The problem is like they have the option to do something back. They still have escalation dominance. They still have the ability to do the things they said they were going to do that made us back down on the last five escalations. We said we were going to do the didn't because they just tap the sign on the things to blow up and we're like, yeah, that would not be fun. So let's not do this. So, and they're already making explicit threats to things like undersea cables and data centers, ports, you know, like, yeah, you're getting five million barrels a day, roughly out right now.

But if we blow up the port where you load the oil, you're not getting it out, right? They still have that escalation dominant. So I still think they're actually being very, honestly, pretty chill with the way they're going about this. Their oil production is already down to basically domestic consumption. So their exports are done. So that was the thing that was supposed to break them. They're already there. And we've had like the

biggest baddest sanctions on Iran for most of my life and it hasn't worked. So like why we think now there's some economic warfare tricks going to topple the regime and Besson literally tied this effort to regime change, said it was going to make the regime collapse. And the only way to actually make that make any economic like warfare work is if China not just not just came along, but like fully came along and they were being serious.

And they're not going to do that. Now, would they trade a long-term strategic win for a short-term feather in the hat of the US? Yeah, they'll do that because that's really smart. And I'm very fearful that that could happen because G is coming for the meeting, but are they going to turn their back on Iran and let Iran become a pro-western country that's a puppet of the US? No, come on. So this is basically like their pipelines are going to blow up. all over again. This is we're going to blow up their power plants all over again. It's just if we had a good idea, we would have done it more than six months ago, or at least we've done it five months ago, or maybe six years ago. Not we didn't just come up with some great idea in the last three weeks. No, I know. I know. I it's it's too ridiculous. And, you know, if I saw another thing that I don't know if this came directly from the administration, but they were claiming We're getting out 10 million a barrel. They did it did come directly from the ministry. What a crock of BS that is just total BS. Yeah, you can't there's Yeah, no one can verify really anything close to that and yet you still you can make a case for like seven I think Why are I think it's about five? Why are we still drawn? Right then off then you then then the other one that I didn't see anybody talk about was Hey, we're not working off of that original 20 million barrel number now It's bigger than that because of the Red Sea meaning Okay. So is your argument that we're getting enough through the straight to alleviate what's not now coming through the Red Sea? Great. You know, and I think, I think that was how they flubbed the numbers was including the bypass and what they're sneaking through. Right. And that was maybe their 10, which that's probably, but it's not the net number. Right. At the end of the day, especially because the Yambu loadings are down. Yeah. If you're getting five out, you're still in a big deficit, which obviously the data confirms.

And what's important to note here is China, like the orders coming out of China are really starting to pick up. I think that's why oil probably had a

good week this week is, well, China wants some oil again. And that was a huge, huge part of the reason oil had a pretty calm, you know, June, July. Huge, the biggest reason. And so it looks like they're coming back more and more. Their July imports are higher than their June and May I think it was or at least their June Looks like August would be a bit higher than July. So like they're they're back on the upswing that's going to put pressure on oil like As long as this war is on You know Here's an interesting question. It's one that we haven't addressed and one that we've For obvious reasons kind of danced around a little bit because And we've explained this many times but in this business, you never want to be the guy Oh, attributing the fact that price movements are not corresponding to what they are doing. You know what I mean? Like it's they, they're pushing the price down. I'll tell you this. It's getting harder and harder for me to believe that direct action is not being taken in the oil markets, not based even off the price action, but based off the comments coming out from people. You know what I mean? Like Besson said several things where I'm like, If you're not putting your thumb on the scale, I don't understand why you'd make that statement. So speaking of, I'm glad you said thumb on scale because something I talked about the last couple of days was, this is just a theory. But what if the thumb on the yield scale all of a sudden was the same thumb that was on the oil scale? They took it off and it looks like oil is doing what it wants now and they're not really stopping it. And it looks like we've had some shakiness with our relationship with Pakistan, maybe.

in the last couple of weeks. So maybe they're like, Hey, we're done. We're done like acting like a deals imminent or whatever for you guys in the media. And maybe like the guide Axios is like, I don't have a career left. If I keep doing this, I'm done. Like, so what, what if we can't, what if we can't keep oil down anymore? So now we got to look over at yields and like, well, let's just try, let's try yields then. Like I, it feels like there's a possibility that that's, that's what happened this week. I just wish I knew I I don't even know. I yeah, I don't even know what we're doing over there anymore And I know we're saying I did like what's the goal now best since talking about regime change again. I thought that was off the tape I didn't think that was the goal. I thought we were going for the nuke I a friend on Twitter made it made a good point in that it was What that one thing is clear that any like long? Patient drawn out strategy the president's not gonna have

the the patients to actually execute So like this whole like we're gonna squeeze them economically I don't think he can see that through. Like, I don't think his attention span allows him to just be like, we'll show you his boss in three months. Like he was going to want action. So I think, I think one of the two sides is going to be back to escalating kinetically or both. Obviously, I don't know. I'll say it within three weeks. I would be surprised if things stay at this status quo of nobody really shooting at each other. It's kind of, granted completely different conflicts, completely different timetables, all that kind of stuff. But it is kind of eerie to see, man, the rush, you know, you've kind of got these Mexican standoffs. Now, one is obviously much more costly in terms of human capital and all that kind of stuff. But you've got these Mexican standoffs in two pretty important sectors of the world right now. And, you know, The Russia one is it we I heard the other day that Russia is losing like 1,100 men a day or something like that I mean, they're they're up to like 500,000 deaths. I think I think we lost 30,000 in Vietnam to put it in perspective 58 So you're that's right because it's almost 10x. Yeah, there's six there's six xing what we lost in Vietnam that is Like that's that gives me a headache. That's crazy and that's off a population base. That's about half what we were at that time Think about that Like how does no one talking about that? I get that is insane. I mean, that's up there. Did Russia for what? How many people did Russia? I mean, oh When you go back to the war wars is millions of millions. Yeah, it's no it's millions, but I mean what I'm saying is This is a historically costly conflict or war to you were literally fighting for your country. Yeah. Yeah But but my point is saying it's not World War two levels, but 500,000 plus dead. That ain't nothing to shake. The risk rewards are worse. Oh, that's why I would say it. Well, and here's the other side. What do they do now? You know, because it's politically unviable. I heard that I heard that Putin's personal defense like the his security duty or whatever is something like 800 people or something like that because he doesn't trust any like.

What happens to him if he cries no joy and bring, can he even do that politically now? Right. It's probably ends ugly for, for him at some point. And I don't know from which angle, but typically losing wars doesn't go well for leaders in Russia. I'll say that. Yeah. Fair enough. Um, I know I keep thinking every day you're going to wake up in here. He's got an assassinated or something. I mean, even if they control all the nets, get the

end of this, like that was not worth it. I'll say it. No, if you would have told him that the death goal going into this was half a million people, I don't know. He wouldn't have done it. No, thank you. He wouldn't have done it. It's just the same thing. This is that human nature of like, it's so embarrassing to leave that you just keep compounding the mistake. Yeah, it's also interesting that it...

That both at least it appears it's hard to come to any other conclusion that we walked into a conflict completely underestimating what the cost and the time and our own capability would be Okay, within a few years of Russia doing virtually the exact same and within a few years of us doing the same thing in Iraq and Afghanistan Yeah, I in the same region. Yeah Yeah, this is how most wars start. I mean that even like France and Mali I remember going back to that like oh, it's cool. We'll be in and out in a couple months Be easy and it's like yep sure about that. Well, it's just It's what the history's taught us in the lesson over time and time and time and time again, which is Libya still today still a civil war dumpster fire like it's hard to win a war on somebody else's backyard. It is incredibly hard, especially and it just got harder because of technology. So well, yeah. And then then also modern morality, meaning wars were easier to win 200 years ago. You just went and killed everybody. You know what I mean? But when you look at the constraints and I think those constraints are good. By the way, I'm not saying I don't think they are, but.

when you look at those constraints. And that's what scares me, especially about the Russia-Ukraine thing right now, is if it gets... I mean, you're cut... Look, I'm not one of these nuclear freak-out people, all that kind of stuff. I'm really not. But when you look at the choices that Putin is facing... Right. The desperation of lashing out. And they hit a mall, I think, today. Like, they're hitting civilian infrastructure. They made... That may get worse, you know? Like... Um, I mean they've hit a bunch of hospitals and stuff too, but like You can see that get worse. I could see them hitting A lot of people are like making fun of the US government for saying like hey, we feel like they could start hitting, you know, some NATO countries I don't think that's crazy at all and to be fair to the Russians like You know the UK is like handing drones over that they're using for deep strikes like you could argue like Yeah, but he can't afford to bring anybody else into this fight that that

becomes the question is it was Would NATO actually get involved in a mate in a major way if they did a little bit to NATO Well, that's what and that's what scares me about the possibility of using a smaller tactical nuke or a fuel air bomb or something like that because I mean that's the next step Like when I'm looking at Putin right now with over 500,000 dead in this conflict You can't convince me that using a fuel-air bomb over a over a Population center is something that's off the table for him The problem is the response probably is you know doesn't get him any closer to any of his goals But I hear you I I do I don't I think that the probabilities of him doing something Ugly we'll call it are higher than I think a lot of people want to want to place it and when you flip this back to the investment side of things Um that and that's look there are no answers to this but when you look at the world geopolitically If not for reasons about that deficits all these other issues that we talked about in a world where you've got this much geopolitical risk It's a world where you have to own real assets in a portfolio. You have to right because Those are typically the things that get constrained as conflicts get larger Right. Those are typically the things that are disrupted in terms of you know, transiting around the world and doing their doing their deal It's definitely not a situation where you want to own hyped up overvalued equities, you know No, it doesn't mean you get there can't be things that give those things a boost along the way But I think it's really interesting over the last month look at you know the people all excited about Bitcoin go look at the performance of gold miners over the same period of time almost doubled about You know gold miners are up 40% bitcoins up 23 something like that so Feel like there's a lot of real asset warning signs going off that a lot of people aren't taking attention of we'll go look at the composition of the average portfolio You've barely seen those allocations move and the 40 and the 60 aren't the 40 and the 60 40 is not helping us No, and you can just see it in our own results. You know, we smashed the market last year by 20 plus We're up again by four on the market again this year and the composition of the portfolio looks entirely different than what the market is and we're owning things that are cash flowing paying dividends I just I mean, you know, it's gone from being a theory to saying, Hey guys, there, there's a bunch of other stuff out there where everybody's just looking in the U S markets. You don't, you don't need to be loaded up on micron and M U to be putting up good numbers right now. Well, don't tell that the Kramer. Yeah. Well, there's a lot of things I won't tell the

Kramer. Uh, what, what, what is he speaking? What is his eyes? I had to see a lot of pictures of him with like micron stuff. So is he, has he bought another dog named a micron now? Well, probably, I don't know.

Well, to be fair to him, if he names a doggie company, I mean, he named his dog and video. So I mean, that was a pretty good call, right? Um, anyway, you got anything else, man? Nope. Good to go. All right, brother. So am I. All right, you guys, as always, you can follow Chase and I on social media on X. I am at KYR radio. Chase is at Pinecone macro. Uh, get the video feed for the podcast on YouTube, all the different podcast sites. You guys know the drill. Have a wonderful weekend. We'll see you on Monday. You're listening to know your wrist podcast. Now let me subscribe to know your wrist podcast. Investment advice cannot be given without a client service agreement. Zach Abraham is an investment advisor representative of Trek Financial and SEC Registered Investment Advisor. Bollard Capital Management is a marketing name only and does not carry a separate registration.